

the bank to make either a one-time payment or recurring payments for ongoing monthly bills.

You can verify that a bill has been paid once the withdrawal shows up on your online statement. It will usually post a day or two after you request the payment be made. If you use this system, make sure to remember when you've arranged for payments so you don't accidentally spend money that isn't really there.

- **Arrange to have payments automatically deducted from your account.** Another way to make bill paying easier is to have the *merchant* electronically take payments (for example, your gym membership, your cell phone bill, or your electricity bill) out of your checking account on a designated date. Once you've signed up for this, the money will simply vanish from your checking account on the correct day of the month.

While this system is generally a good way to make timely payments, there are a few potential pitfalls. For one, the merchants could take out more than the actual amount owed, so don't sign up if you don't trust them. If you do, you should still monitor your account to make sure they don't make any mistakes. Furthermore, if your bill is unexpectedly large one month (for example, if you've run up your cell phone charges), a merchant could withdraw more money than you actually have in your account, so be sure you have a cushion in there to avoid getting fined for insufficient funds. If you don't like the idea of giving the merchant so much control, check to see whether he or she can send you an email to verify the amount before withdrawing it.

- **Have *savings* automatically deducted from your account.** The old adage is "pay yourself first," meaning you should contribute to your monthly savings just as diligently as you pay your monthly bills. And one of the smartest ways to do that is to make your savings automatic. Because you don't see the money that's being set aside, before long you won't even miss it. There are a couple of ways to do this: Ask your